People's Access to Savings Investment Instruments Have Changed Materially

The small savings system evolved in the country from the 1950s to the 1980s, when the government had the widest reach to people through the network of field functionaries and post offices. Banks were present only in cities, and that too in much smaller numbers. Funds were needed for government schemes and capital investment. Small savings schemes served both purposes: to raise funds for the government and provide an avenue of savings for people, especially agricultural and rural people.

Much has changed. The banking network has expanded all over the country, including in very small villages, and is accessible to every individual and household in the country with the digital footprint expanding massively.

In this day and age of widespread banking and digital banking enabled by omnipresent mobile phone networks, there is no need for the government to provide an avenue for people to park their savings. With almost universal Jan Dhan accounts in the banking system (we need to convert these zero minimum deposit accounts into normal savings accounts to enable poor people to use the entire set of banking services), there is absolutely no necessity for savings bank account services to be provided by post offices.

The inability of the government to adjust small savings schemes rates from time to time to align with the market rates of savings for the same maturity, including in the banking system, results in the effective cost of small savings instruments remaining higher. The government also uses these instruments to serve its social objectives like paying off-market rates to senior citizens and the girl child. These may be desirable objectives but they make the small savings instrument distort the financial savings market.